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Market Briefs Pro

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Good morning, Pro Briefers!

When most people think about AI, they think about graphics processing unit (GPU) chips.

But, there are actually two completely different jobs happening inside an AI system and they require two completely different types of chips.

The first job is processing - that's the GPU chip everyone talks about.

- It's doing the thinking, the math, and the actual computation that makes AI work.

For the most part so far, this is where investment dollars have flowed into.

Why? You can't run a car without the engine - and GPUs are the engine of AI.

The second job is memory. And without it, the processing chip is useless.

Think of it like this: Imagine AI is the best problem-solver in the room - but every time it blinks, it forgets everything.

If it forgets, then it can't improve. If it can't improve, then it's not a very helpful tool.

That's an AI system without memory.

Every AI system that processes information also has to store it.

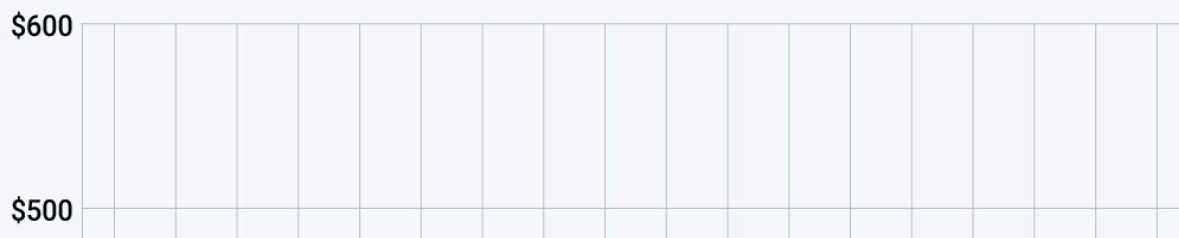
And a third of U.S. adults under 30 use AI several times a day.

That's a lot of data that needs to be stored.

The problem: Demand for these memory chips has quietly become one of the biggest supply crunches in the tech industry.

Average price of DDR5 RAM over the last 18 months

In U.S.D





Data via MSI

And for the companies that actually make this memory, that means one thing: record revenue.

This is where we have identified a Main Street Shift:

The AI industry's demand for memory has outpaced what the world can produce - and the few companies positioned to fill that gap may be sitting on one of the more significant potential opportunities in today's market.

Let's break down the market shift going on, which stocks may benefit, and the risks investors need to pay attention to.

ANALYST TAKE

Tickers we're tracking:

Long-term memory: SNDK

Short-term memory: MU

ETFs: EWY

THE SHIFT

The Chip Shift

By early 2026, data centers had absorbed roughly seven out of every ten memory chips produced worldwide.

Everything else - your phone, your laptop, your car - is splitting what's left.

There are two types of memory chips keeping AI running:

1. High Bandwidth Memory (HBM) is the fast-access, short-term layer.

It sits right beside the processing chip and feeds it a constant stream of data. The constraint here is the most severe right now.

2. Enterprise Solid-State Drives (NAND Flash) are the long-term layer.

AI models are trained on data so large they have to live somewhere permanent.

Any company trying to compete in AI has to source enormous quantities of these AI memory chips.

- And currently, the line to get them stretches 18 months out.

But AI has been around for a few years - so why is this shift happening now?

Flashback to 2023: There was too much supply of memory chips and not enough buyers.

AI wasn't quite advanced enough yet, so there wasn't a need for tech giants to buy it in bulk.

Producers scaled back as a result.

A year or so later, AI took off.

Data centers started consuming memory at a pace that made previous cycles look small.

And the industry was caught off guard, with reduced capacity, at exactly the moment it needed more.

The companies still producing at scale found themselves with more orders than they could fill, which led to increased prices.

We call this the AI Memory Supercycle.

And what makes it different from past tech booms - smartphones, gaming, PCs - is that it's not driven by a single product or trend.

It's built into what AI fundamentally requires to function.

However, AI memory production is dominated by companies based in East Asia, so many are not listed on U.S. exchanges.

Investors can technically invest in them through OTC markets, but this isn't a path we recommend.

That leaves American investors with two major options - let's discuss both next and why they may be worth considering.

LONG-TERM MEMORY

The Flash In AI

Starting with Enterprise Solid-State Drives (NAND Flash), we have SanDisk (SNDK) as a major player.

The company makes more than SD cards - it has created advanced memory for AI.

SanDisk separated from Western Digital in early 2025.

Since that spin-off, the stock has climbed around 1,600% as of February 19th, 2026.

The opportunity with SanDisk is simple: SanDisk makes NAND Flash memory - the long-term storage layer that AI models can't train without.

And demand for its enterprise-grade products has been so high that the company has no

available inventory for the next two quarters.

Sandisk financial highlights

(\$ in millions, except for Diluted net Income per Share)

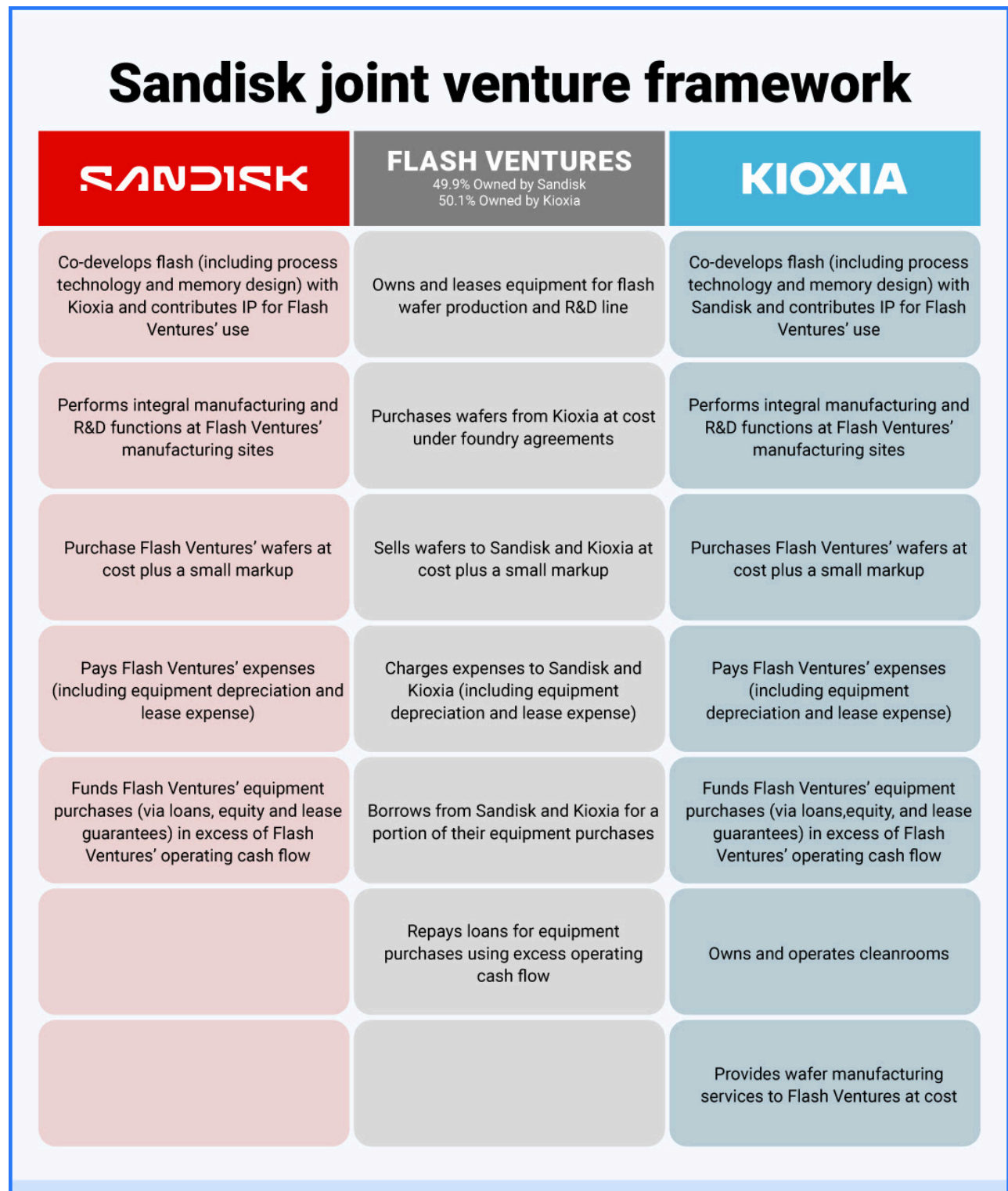
	Q2'25	Q1'26	Q2'26	QoQ	YoY
Revenue	\$1,876	\$2,308	\$3,025	up 31%	up 61%
Gross Margin %	32.5%	29.9%	51.1%	up 21.2 ppt	up 18.6 ppt
Operating Expenses	\$376	\$446	\$413	down 7%	up 10%
Operating Income	\$233	\$245	\$1,133	up 362%	up 386%
Interest and Other Expense, net	\$(26)	\$(42)	\$(34)	down 19%	up 31%
Diluted Net Income per Share	\$1.23	\$1.22	\$6.20	up 408%	up 404%
Operating Cash Flow	\$95	\$488	\$1,019	up 109%	up 973%
Adjusted Free Cash Flow	\$91	\$488	\$843	up 88%	up 826%

Selling out has meant the company can charge more per product due to demand, which has increased its gross margin of 51.1% year over year and its data center revenue jumped 64% in a single quarter.

But the opportunity isn't just because SanDisk makes this product - it also has an edge against other competitors.

SanDisk has a manufacturing partnership with Kioxia - a Japanese memory producing giant otherwise unavailable to U.S. investors.

That relationship gives SanDisk production capabilities that are hard to replicate quickly, plus some exposure to chip production in Japan.



Data [via](#) SanDisk investor presentation

- Our [report on Japanese markets](#) in late 2025 introduced a thesis that believes Japan may outperform U.S. markets in 2026.

But now, the elephant in the room: SanDisk's valuation.

Because so few U.S.-listed companies offer direct access to the AI memory market, investors have been paying a premium just for the access.

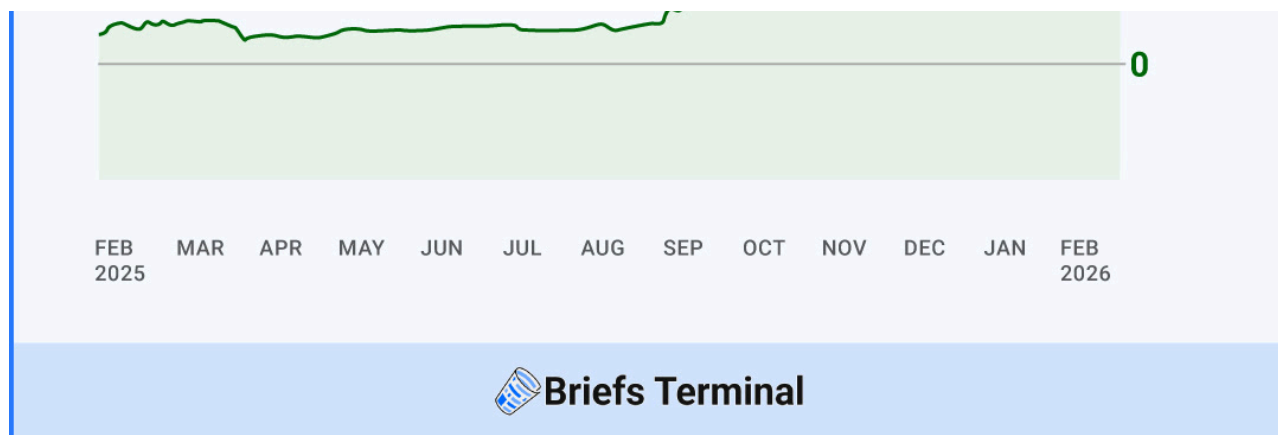
That's called a scarcity premium - and it means the stock price reflects SanDisk's rare position in the market, not just its underlying business performance.

After a run like this, a slowdown in growth rate is a reasonable expectation.

Sandisk Corporation (SNDK)

1 Year Price → **\$626.56**
(1687.11%)





Data [via](#) Briefs Terminal

But SanDisk has a large backlog of orders, demand does not seem to be slowing down, and businesses will likely still need memory whether AI grows in demand or not.

SanDisk could be a potential opportunity that investors want to keep in mind for the long-term.

SHORT-TERM MEMORY

The Established Name

Next up, we have Micron (MU) - which focuses on HBM chips, the short-term layer for AI memory.

- Its memory chips power Nvidia's most advanced processors.

When Nvidia ships its Blackwell and Rubin GPUs to data centers around the world, Micron's memory goes with them - these GPUs are considered some of the best in the world.

That's not just a business advantage - it's a national security consideration.

Micron is the only American company that can manufacture HBM chips.

The U.S. government has been actively supporting Micron's expansion as part of a broader push to build domestic AI chip production - reducing dependence on supply chains in South Korea and Taiwan.

That government backing adds a layer of stability that most competitors don't have.

Micron technology performance

DRAM FQ-26

\$10.8billion,
representing 79% of total
revenue in FQ 1-26

Revenue increased 69%
Y/Y

Revenue increased 20%
Q/Q

Bit shipments up slightly
Q/Q

ASPs increased
approximately 20% Q/Q

NAND FQ-26

\$2.7 billion, representing
20% of total revenue in
FQ1-26

Revenue increased 22%
Y/Y

Revenue increased 22%
Q/Q

Bit shipments increased in
mid-to-high single digit
percentage range Q/Q

ASPs increased in the
mid-teens percentage
range Q/Q

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Data [via](#) Micron's investor presentation

Micron is a bigger, more established company than SanDisk; its market cap is about \$469 billion compared to SanDisk's \$91 billion as of February 19th, 2026.

The growth trajectory reflects that difference: Shares are up around 330% over the past year, strong by any measure, but on a different scale than SanDisk's run.

The most telling strategic move Micron has made recently is its decision to exit consumer

The most telling strategic move Micron has made recently is its decision to exit consumer memory almost entirely.

The RAM that used to go into laptops and personal computers is no longer a priority.

That production capacity is now pointed squarely at AI.

Micron data center server demand

As the world's leading technology companies advance toward artificial general intelligence and transform the global economy, our customers are committing to an extraordinary, multiyear data center buildout.

This growth in AI data center capacity is driving a significant increase in demand for high-performance and high-capacity memory and storage.

Server unit demand has strengthened significantly, and we now expect calendar 2025 server unit growth in the high-teens percentage range, higher than our last earnings call outlook of 10%.

We expect server demand strength to continue in 2026. Server memory and storage content and performance requirements continue to increase generation to generation.

Micron has a differentiated portfolio of high-value data center solutions to address these requirements, including our HBM, high-capacity server memory solutions and data center SSDs.

It's a clear signal about where the company sees the market heading - and it's one reason consumer electronics prices have been ticking up.

Micron's next-generation HBM chip is scheduled to scale production in the second half of 2026, and its data center storage revenue has already crossed the billion-dollar threshold in a single quarter.

Four-digit annual returns like SanDisk's are unlikely at Micron's size.

But huge growth is still possible, as a result of demand and the government's backing.

- For reference, the S&P 500 is only up around 12% in the last year.

But for investors looking for a more established entry point into AI memory, Micron may be one company worth keeping an eye on in the future.



FEB 2025 MAR APR MAY JUN JUL AUG SEP OCT NOV DEC JAN FEB 2026

 Briefs Terminal

Data [via](#) Briefs Terminal

ETFs

Broad Exposure To This Shift

For investors who want exposure to the Asian memory giants, the iShares MSCI South Korea ETF (EWY) is a potential path.

But keep this in mind: EWY is not positioned as an AI play. So, why do we mention it?

- As of mid-February 2026, Samsung accounts for more than 28% of the fund's weight.
- SK Hynix, another major memory producer, adds another 19%.

Together, the two most dominant memory producers on the planet make up nearly half the ETF.

iShares MSCI South Korea ETF (EWY)

YTD Price



\$133.97
(35.84%)



Data [via](#) Briefs Terminal

The fund has moved upwards recently as a result - up 142% over the past year and 35% year-to-date as of February 19th, 2026, tracking closely with what's happening in the global chip and memory market.

The trade-off is that you're buying the whole South Korean market, mixing in other types of companies who don't necessarily focus on AI memory.

Plus, while Samsung is a major memory producer, it also creates other products, which could be a pro or a con depending on if those products do well.

But for investors who want a lower-cost way to invest into the same theme and broader exposure to non-American options, EWY may be a potential opportunity.

RISKS

How This Shift Could Change

How the shift could change

There are three major risks to this shift as of now.

The first is overbuilding.

The memory industry has done this before - overreacted to demand, ramped up inventory, and watched prices collapse.

Right now, companies everywhere are racing to build new factories.

If AI demand levels off, or if efficiency improvements reduce how much memory the next generation of models actually needs, the industry could tip into oversupply as early as 2027 or 2028.

That kind of reversal could lower revenues fast.

Then, there's consumer blowback.

The companies pivoting fully toward AI memory have effectively abandoned the consumer market.

That's one reason why the cost of personal computers and smartphones has been rising.

If that price pressure triggers regulatory attention or shifts public sentiment, it could create complications for how these companies operate.

Lastly, we have geopolitics.

Both SanDisk and Micron depend on supply chains running through Taiwan and China.

That makes them vulnerable to the politics of those regions.

Trade restrictions, military tension, export controls, or more could disrupt production in ways that would be sudden and difficult to work around.

Those types of events happen all of the time - which means investors will want to keep an eye on the headlines, as major moves overseas could impact the opportunities in this shift overnight.

REVIEW

AI's Next Chapter

The AI story has been told from every angle

The AI story has been told from every angle.

But most of the telling has focused on what's visible - the models, the chatbots, the chip companies designing the processors.

What's been less visible is the infrastructure underneath all of it.

And ironically - memory for AI is something that many investors have forgotten about.

The opportunity here is a physical constraint: The world needs more of something that takes years to build the capacity to produce.

American companies are filling those orders right now - and AI investing and spending shows no signs of slowing as of yet.

That could lead to several long-term potential investment opportunities that investors may want to consider before the rest of the market remembers how important memory is for AI.



- Market Briefs Pro Team

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Why? Because we believe in practicing what we preach (and preaching what we practice).

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Our mission? It's simple - to help you be better with money.

Included interviews have been edited for length and clarity.